interest to lower the costs of production as much as possible, often by investing in improved technology that can cut the cost of labor.

It's also in the capitalist's interest to sell as much as possible. Increased sales mean greater profits. Because it's in the interest of the businesses to produce and sell as much as possible, they go beyond producing what people actually need. It's to their benefit to produce things that may be useless and even things that are harmful, as long as they can find a way to sell them.

Capitalist systems are best at increasing production and variety of goods. They are less successful at distributing the goods to those who may need them most. In pretty much every capitalist society, even the wealthiest, there are people who are hungry. Not because there isn't enough food, but because the people who are hungry don't have the money to buy it. They may want and need food, but in capitalist logic, they don't represent a "demand" for food because "demand" isn't created by human need, it's created by the economic means to buy something. A penniless person may *want* a gallon of milk as much or more than a rich person, but under capitalism, only the person with money to buy the milk represents a "demand" for the product.

Every capitalist society recognizes this contradiction in the meaning of "demand," which is why every capitalist society incorporates other, non-capitalist means of distributing what it produces. For example, within every capitalist society there are some people who do not work and earn a wage: children, the elderly, those who are unemployed for other reasons. But the system is organized to provide for the needs of these people, even if they can't purchase what they need on the open, "free" market. In the United States, society collectively – through national and local governments – provides education to all children, outside of the capitalist supply-and-demand system. Some needs, society implicitly or explicitly decides, are so important to the well-being of all that they should not be left to the imperfect capitalist system of distribution – the state must step in and ensure a fair distribution that meets human needs, rather than just the ability of people to pay. Every capitalist society has some sort of public sector that is organized with human priorities, rather than profit, as its governing logic.